



INTERNAL SECURITY

MODULE - 7

LEGAL FRAMEWORK TO TACKLE TERRORISM

5. PREVENTION OF MONEY LAUNDERING ACT

WHY WAS IT IN NEWS?

Recently, Government made the Prevention of Money Laundering Act, 2002 law stricter via a recent amendment made to the Act through the Finance Act of 2019.



MONEY LAUNDERING:

- According to INTERPOL, Money laundering is concealing or disguising the identity of illegally obtained proceeds so that they appear to have originated from legitimate sources.
- It is frequently a component of other, much more serious, crimes such as drug trafficking, robbery or extortion.
- Some of the common methods of money laundering are Bulk Cash Smuggling, Shell companies and trusts, Round-tripping, Hawala, False invoicing etc.
- The advent of cryptocurrency, such as bitcoins, has exacerbated this phenomenon.

LEGAL FRAMEWORK TO TACKLE TERRORISM

5. PREVENTION OF MONEY LAUNDERING ACT

- **STATUTORY FRAMEWORK:** PMLA 2002
- **INSTITUTIONAL FRAMEWORK:** Enforcement Directorate and Financial Intelligence Unit
- **INTERNATIONAL FRAMEWORK:**
 1. **Financial Action Task Force (FATF):** It is an inter-governmental body established with the objective to set standards and promote effective implementation of legal, regulatory and operational measures to combat money laundering and terrorist financing and other related threats to the integrity of the international financial system.
 2. **Asia Pacific group:** It works with countries in the Asia-Pacific to generate wide regional commitment to implement anti-money laundering policies and initiatives and secure agreement to establish a more permanent regional anti-money laundering body.
 3. **Basel Committee** on Banking Regulations and Supervisory Practices issued a statement of principles which aims at encouraging the banking sector to adopt common position in order to ensure that banks are not used to hide or launder funds acquired through criminal activities.
 4. India is also signatory to the International Convention for Suppression of Financing of Terrorism (1999); the United Nation Convention against Transnational Organised Crime (2000); and United Nation Convention against Corruption (2003).

LEGAL FRAMEWORK TO TACKLE TERRORISM

5. PREVENTION OF MONEY LAUNDERING ACT



- 1 The objective of the Act is to prevent and control money laundering and confiscate the property obtained from the laundered money.

- 2 The Act expands the reach of crimes by including many offences under the IPC, Arms Act, Wild life Protection Act etc.

- 3 It maintains records of financial transactions and submits the same in the prescribed format to the Financial Intelligence Unit – India.

- 4 It allows Central Government to enter into an agreement with Government of any country outside India for enforcing the provisions of the PMLA.

- 5 Special Courts have been set-up under this Act in a number of States / UTs by the Central Government to conduct the trial of the offences of money laundering.

LEGAL FRAMEWORK TO TACKLE TERRORISM

5. PREVENTION OF MONEY LAUNDERING ACT

6 Tax haven countries allow the creation of anonymous accounts without disclosure of financial information

5 Lack of comprehensive enforcement agency.

4 Increasing number of black market channels for the purpose of sale of goods like electronics.



1 It is a predicate-offence-oriented law. This means a case under the Act depends only upon the fate of the cases pursued by primary agencies like CBI etc.

2 The enforcement agencies are not able to cope up with the growth of technology.

3 Non fulfilment of the purpose of KYC norms. Also increasing competition in the banking scenario forces the banks to lower their guards.



FINANCIAL ACTION TASK FORCE

INTRODUCTION



- 1** The Financial Action Task Force (FATF) is an inter-governmental decision-making body.
- 2** It was established in 1989 during the G7 Summit in Paris to develop policies against money laundering.
- 3** It is a “policy-making body” which works to generate the political will to bring about national legislative and regulatory reforms in money laundering.
- 4** It has also started dealing with virtual currencies. The FATF Secretariat is located in Paris.

FINANCIAL ACTION TASK FORCE

WHAT IS THE OBJECTIVE OF FATF?

FATF sets standards and promotes effective implementation of:

- Legal, regulatory and operational measures for combating money laundering.
- The FATF works to identify national-level vulnerabilities with the aim of protecting the international financial system from misuse.

HOW MANY MEMBERS ARE THERE IN FATF?

As of 2019, FATF consists of 37 member jurisdictions and 2 regional organizations.



FINANCIAL ACTION TASK FORCE

IS INDIA A MEMBER OF THE FINANCIAL ACTION TASK FORCE?

- India became an Observer at FATF in 2006.
- Since then, it had been working towards full-fledged membership.
- On June 25, 2010 India was taken in as the 34th country member of FATF.



FATF ON TERROR FINANCING

FATF's role in combating terror financing became prominent after the 9/11 terror attacks in the US. In 2001 its mandate expanded to include terrorism financing.



FINANCIAL ACTION TASK FORCE

WHAT ARE FATF 'GREY LIST' AND 'BLACKLIST'?



FATF has 2 types of lists:

- **Black List:** Countries known as Non-Cooperative Countries or Territories (NCCTs) are put in the blacklist. These countries support terror funding and money laundering activities. The FATF revises the blacklist regularly, adding or deleting entries.
- **Grey List:** Countries that are considered to be safe haven for supporting terror funding and money laundering are put in the FATF grey list. This inclusion serves as a warning to the country that it may enter the blacklist.

FATF & PAKISTAN

- Pakistan has been in the FATF grey list since June 2018 and has been asked to implement the FATF Action Plan fully by September 2019.
- It was in the same category from 2012 to 2015 too.
- Pakistan's inclusion in the grey list can be attributed to the fact that the country's anti-terror laws are still not in line with FATF standards and also with the latest UN resolution 2462 that pitches for criminalizing terrorist financing.

CONSEQUENCES OF BEING IN THE FATF GREY LIST

Considered in the grey list may face

1. Economic sanctions from IMF, World Bank, ADB
2. Problem in getting loans from IMF, World Bank, ADB and other countries
3. Reduction in international trade
4. International boycott



INTERPOL AND ITS FUNCTIONS

The Interpol issues notices to fugitive economic offenders like Nirav Modi, Vijay Mallya and also very recently in the case of fugitive godman Nithyananda. In this context, let us understand the functions and role played by Interpol.

WHAT IS INTERPOL?



INTERPOL

- 1 Interpol is the shorter and better known name of the International Criminal Police Organization, a network comprising 194 member nations, including India.
- 2 The agency, with its headquarters in Lyon, France, was established in 1923.
- 3 Their role is to enable the police worldwide by providing them infrastructure, technical and operation support in fighting the international crimes.

INTERPOL AND ITS FUNCTIONS



INTERPOL'S CRIME PROGRAMMES



We provide a range of policing expertise and capabilities to our member countries, supporting three main crime programmes:

COUNTER-TERRORISM

Assisting member countries to prevent and disrupt terrorist activities through the identification of individuals, networks and affiliates.

ORGANIZED AND EMERGING CRIME

Targeting and disrupting international criminal networks; identifying, analysing and responding to criminal threats.

CYBERCRIME

Making cyberspace safe for all by supporting member countries to prevent and investigate cyberattacks.

INTERPOL AND ITS FUNCTIONS

SINCE WHEN HAS INDIA BEEN A MEMBER?



- 1** India has been a member since 1956. Like any member nation, India maintains a National Central Bureau which serves as the national platform for cooperation between domestic law enforcement units and the international police community.
- 2** The NCB is the designated contact point for the Interpol.
- 3** The Central Bureau of Investigation (CBI) is designated as the National Central Bureau of India.

INTERPOL AND ITS FUNCTIONS

WHAT DOES INTERPOL DO?



- 1** The Interpol basically connects police across the world even if these individual member nations do not have diplomatic relations.
- 2** The Interpol facilitates information exchange, knowledge sharing and research between nations.
- 3** This is done by issuing colour-coded 'notices' in four languages - English, Spanish, French, and Arabic.
- 4** INTERPOL Notices are international requests for cooperation or alerts allowing police in member countries to share critical crime-related information.

INTERPOL AND ITS FUNCTIONS

CAN INTERPOL ARREST PEOPLE?



- The Interpol doesn't have law enforcement powers such as arrest.
- When a member nation approaches it with a specific request backed with court orders, the Interpol sends it out to other countries.
- The information received is sent back to the country.

INTERPOL AND ITS FUNCTIONS

WHAT ARE DIFFERENT INTERPOL NOTICES?

1 Red Notice:

A Red Notice is a request to locate and provisionally arrest an individual pending extradition. It is issued by the General Secretariat at the request of a member country or an international tribunal based on a valid national arrest warrant. However, the arrest of the fugitive is based on the rules of the member nation where he or she is located.



2 Yellow Notice:

A Yellow Notice is issued to help locate missing persons, often minors, or to help identify persons who are unable to identify themselves. This is highly useful in cases of human trafficking or in case of missing persons due to calamities.



INTERPOL AND ITS FUNCTIONS

WHAT ARE DIFFERENT INTERPOL NOTICES?

3 Blue Notice:

A Blue Notice is issued to collect additional **information about a person's identity, location** or activities in relation to a crime. This does not guarantee extradition or arrest of the person.



4 Black Notice:

A Black Notice is a request to seek information on **unidentified bodies** in member nations.



INTERPOL AND ITS FUNCTIONS

WHAT ARE DIFFERENT INTERPOL NOTICES?

5

Green Notice:

A Green Notice is issued to provide warnings and **intelligence about persons** who have committed criminal offences and are **likely to repeat these crimes in other countries**.



6

Orange Notice:

An Orange Notice is issued to provide warnings about **warn of an event, a person, an object or a process** representing a serious and imminent threat to public safety.



INTERPOL AND ITS FUNCTIONS

WHAT ARE DIFFERENT INTERPOL NOTICES?

8

Purple Notice:

A Purple Notice is a request to seek or provide information on the **modus operandi, objects, devices and concealment methods used by criminals**. Last year the Interpol issued such notices to highlight human trafficking and modern day slavery prevalent in the fisheries sector.



9

INTERPOL- United Nations Security Council Special Notice:

The INTERPOL-United Nations Security Council Special Notice is **issued for individuals and entities that are subject to sanctions imposed by the United Nations Security Council**. Its principal function is to alert national law enforcement authorities that sanctions such as assets freeze, arms embargo, and travel ban apply to designated individuals and entities.



DRACONIAN LAW OF AFSPA

WHAT IS AFSPA?



- Armed Forces (Special Powers) Act, enacted in the year 1958, grants extraordinary powers and immunity to the armed forces to bring back order in the “disturbed areas”.
- Areas are considered disturbed “by reason of differences or disputes between members of different religious, racial, language or regional groups or castes or communities”.



AFSPA - 1958

DISTURBED AREAS

WHO WILL DECLARE?

Central Govt.

OR

*State Govts. can declare
Disturbed Areas.*

SITUATIONS

- *Continued unrest*
- *Militancy*
- *Insurgency*
- *Borders are under threat*
- *Religious / Racial / Ethnic clashes.*

The provisions of AFSPA-1958 will apply, when the area is declared as “disturbed”.

ARTICLE 355

It is the duty of the Union to protect states against external aggression and internal disturbances.

DRACONIAN LAW OF AFSPA

WHAT ARE THE POWERS GIVEN UNDER AFSPA?



1 AFSPA empowers the Governor of the State/Union territory to issue an official notification declaring the state or a region within as a “disturbed area”, after which the Centre can decide whether to send in armed forces.

2 Some of these extra-ordinary powers include:

- ✓ Fire upon anyone, after giving warning, who is acting against law & order in the disturbed area.
- ✓ Arrest anyone without warrant.
- ✓ Stop and search any vehicle or vessel.
- ✓ Armed forces personnel have legal immunity for their actions.

Asymmetric warfare:

Asymmetric warfare (or asymmetric engagement) is war between belligerents whose relative military power differs significantly, or whose strategy or tactics differ significantly. This is typically a war between a standing, professional army and an insurgency or resistance movement militias who often have status of unlawful combatants.

RATIONALE BEHIND IMPOSITION OF AFSPA?

- Effective functioning of armed forces
- Security of nation
- Protection of members of armed forces who face asymmetric warfare

DRACONIAN LAW OF AFSPA

ARGUMENTS AGAINST AFSPA

- 1** Immunity granted to the armed forces has been grossly misused.
Eg: Kunan Poshpora incident; Thangjam Manorama case in Manipur.
- 2** Indefinite deployment of armed forces in disturbed areas is “mockery of our democratic process”.
- 3** Purpose behind deployment is to ensure normalcy to be restored within a reasonable period. But, how long this Draconian law will continue?
- 4** People’s disillusionment with democratic setup is exploited by secessionists and terror sympathizers, which leads to more violence & more counter violence creating a vicious cycle.
- 5** Critics argue that this act has failed in its objective of restoring normalcy in disturbed areas although being in existence for about 50 years.
- 6** Human rights violations in AFSPA areas are not inquired into and it is against the principle of natural justice.

It needs to be emphasized that human rights compliance and operational effectiveness are not contrarian requirements. The terms like “disturbed”, “dangerous” and “land forces” need to be clearly defined to ensure greater clarity.

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Learning Space

For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

www.learningspacedigital.com

0866 244 44 72

98499 42299

94415 27588